

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to
the Interstate Transmission System**

)
)
)
)

Docket No. RM26-4-000

COMMENTS OF THE ELECTRIC POWER SUPPLY ASSOCIATION

In response to the *Notice Inviting Comments*¹ issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”), the Electric Power Supply Association (“EPSA”)² hereby submits comments on the Secretary of Energy’s (“Secretary”) proposed Advance Notice of Proposed Rulemaking (“ANOPR”) released on October 23, 2025, pursuant to Section 403 of the Department of Energy (“DOE”) Organization Act, for consideration and final action by the Commission no later than April 30, 2026.

Specifically, in a letter to the FERC Commissioners accompanied by the ANOPR, the Secretary directed the Commission to initiate a rulemaking to assert jurisdiction over load interconnections to the bulk electric transmission system and establish standardized procedures for the interconnection of large loads (“Secretary’s Letter”).³ As discussed below, EPSA generally supports the ANOPR and offers perspectives on the need for reform, the Commission’s jurisdictional authority, and certain proposed principles for reform, to assist the

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (October 27, 2025).

² EPSA is the national trade association representing competitive power suppliers in the U.S. EPSA members provide reliable and competitively priced electricity from environmentally responsible facilities using a diverse mix of fuels and technologies. EPSA seeks to bring the benefits of competition to all power customers. This pleading represents the position of EPSA as an organization but not necessarily the views of any particular member with respect to any issue.

³ Secretary of Energy’s Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary’s Authority Under Section 403 of the Department of Energy Organization Act, (October 23, 2025), *available here* <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

Commission in its consideration and development of next steps in the proceeding, including a possible Notice of Proposed Rulemaking.

I. BACKGROUND

The Secretary offers proposed text in the ANOPR based on a belief that the interconnection of large loads (greater than 20 MW) directly to the interstate transmission system “falls squarely within the Commission’s jurisdiction.” The ANOPR outlines the legal justifications for the Commission’s jurisdiction over such interconnections, including noting FERC’s responsibility to ensure both “non-discriminatory transmission service” and wholesale rates that are “just and reasonable and not unduly discriminatory or preferential.”⁴

Citing the importance of meeting load forecast projections, the Secretary highlights that “it has become necessary to standardize interconnection procedures and agreements for such loads, including those seeking to share a point of interconnection with new or existing generation facilities (hybrid facilities).” The Secretary articulates his view that the focus and substance of the proposed ANOPR is “intended to ensure efficient, timely, and non-discriminatory load interconnections.” In this regard, the ANOPR also includes fourteen proposed principles for reform.⁵

Notably, the ANOPR emphasizes the proposal “is not intended in any way to discourage public utilities from making filings to address these and similar issues” under section 205 of the Federal Power Act (“FPA”)⁶ and seeks consideration of transition mechanisms, including for large load interconnections that are already being studied.⁷ This is important as it allows for proceedings and proposals currently underway to expedite and

⁴ ANOPR at PP 13-16.

⁵ *Id.* at PP 17-31.

⁶ *Id.* at P 32.

⁷ *Id.* at P 30.

clarify regional interconnection procedures so that they may move forward to meet pending and imminent large load needs, including for example, the PJM Show Cause proceeding.⁸ It would be entirely inconsistent with the intent of the ANOPR to further delay resolution of the Show Cause proceeding to clarify the rules applicable to large load interconnections in PJM, which has been awaiting Commission action based on an extensive record for over six months. Per the Commission's statutes and practices, once a final rule is issued that establishes a specific large load interconnection process, regional markets may adopt those provisions or may demonstrate how their process meets or exceeds the requirements established by the new rule. This should allow current proceedings and projects to continue to move forward as the Commission deliberates these issues in the coming months. Indeed, it would be inconsistent for a Commission proceeding focused on "ensur[ing] the timely and orderly interconnection of large loads to the transmission system"⁹ to create further delay and/or increase uncertainty for such interconnections.

II. COMMENTS

A. Introduction

As the national trade organization representing competitive power suppliers, including Independent Power Producers ("IPPs"), that participate in wholesale electricity markets in every region of the country, EPSA is directly invested in and supports the mission and objectives laid out in the Secretary's ANOPR. Our members are actively working with large load customers to develop supply arrangements that provide reliable power innovatively and at the lowest cost from environmentally responsible generation facilities using a diverse mix

⁸ PJM Interconnection, L.L.C., *Notice of Institution of Section 206 Proceeding and Refund Effective Dates*, Docket Nos. EL25-49-000, AD24-11-000, EL25-20-000 (consolidated), (issued February 21, 2025) ("Show Cause Proceeding").

⁹ ANOPR at P 1.

of fuels and technologies. To do so, IPPs utilize competitive market mechanisms which offer opportunities to craft novel arrangements to meet a customer's specific needs reliably.

That noted, as the Secretary highlights, we are entering an era of economic development and growth that will require extraordinary quantities of power – even though current forecasts are most likely to prove inflated – and that power needs to be provided “efficiently, fairly, and expeditiously.”¹⁰

Thus, as EPSA commented to the Commission almost one year ago in post-conference comments in its co-location administrative proceeding,¹¹ rules of the road are necessary to provide sufficient market certainty and the transparency needed to enable large loads to interconnect to the transmission system efficiently and fairly, and to be able to do so quickly. Developers of all stripes, ISOs/RTOs, Transmission Owners, and others all need to know the rules in order to connect new large load customers when they are ready to operate. This “speed to power” imperative presents new challenges that must be met clearly while ensuring new rules and policies are not unduly discriminatory to either new loads or existing load customers, not unduly discriminatory to either new or existing generation, and that wholesale rates are just and reasonable. EPSA supports the goals and direction of the proposed ANOPR to address those challenges in the near term, noting certain clarifications discussed below offered to assist in establishing a durable and defensible final rule in this proceeding.

Importantly, as new rules and regulations are crafted and implemented, existing projects that have reached advanced interconnection milestones should be afforded legacy-based treatment in order to rely on the framework under which their commercial arrangement

¹⁰ Secretary's Letter at p 2.

¹¹ Post-Conference Comments of the Electric Power Supply Association, *Large Loads Co-Located at Generating Facilities Technical Conference*, (December 9, 2024), Docket No. AD24-11-000.

has made substantial progress. Thus, this rulemaking process should not interfere with advanced transactions or arrangements between large load customers and power suppliers or further delay proceedings like the PJM Show Cause.¹² In some circumstances, this may bode for the continued development (and approval) of regional programs, tariffs, and processes to facilitate new projects. Alternatively, it may be the case that arrangements can and should be processed pursuant to the current rules of an ISO/RTO.

The Secretary's Letter and the proposed ANOPR should also compel the Commission to complete pending proceedings, like the PJM Show Cause proceeding, which have a comprehensive record, are ripe for Commission action, and that align well with the ANOPR. In fact, further delay would be inconsistent with the intent of the ANOPR. EPSA thus urges the Commission to act on these matters in as timely and clearly a manner possible. To the extent that any of the actions directed in the PJM Show Cause proceeding require further review once a national rule is issued, the Commission can direct PJM to take any additional compliance actions necessary at that time.

Other important considerations for any new load interconnection process include: (1) allowing for and supporting the ability of competitive transmission providers to participate in enabling the interconnection of these new projects; (2) ensuring that the process and prioritization for load does not impinge on the existing generation interconnection queue; and (3) respecting and coexisting with the core principles, objectives, and operations of competitive wholesale power markets.

Structured as an ANOPR to solicit comment on the proposal's principles and objectives in advance of developing specific rules and regulations, the DOE proposal sets out

¹² See Principle 13 outlining that there must be a plan to implement these proposed reforms, including seeking input on appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection. ANOPR at P 30.

the need for reform, explains the jurisdictional authority and legal justification for FERC to act pursuant to the Secretary's direction, and provides fourteen principles to inform the Commission's rulemaking procedures. EPSA offers comments herein to support the goals of the ANOPR and assist in the development of a functional, durable rule that enables the rapid interconnection of new large load customers to the grid in a non-discriminatory manner.

B. Need for Reform

As outlined in the ANOPR, the very recent extensive growth of large loads seeking to interconnect to the grid has created an inflection point relative to serving this demand in a manner that provides non-discriminatory access for all system customers. EPSA agrees that interconnection procedures and agreements for large loads require a level of standardization to establish certainty and transparency – both of which are sorely lacking today in the opaque and unfiled individual Transmission Owner processes that exacerbate confusion and delay regarding new load connections while furthering uncertainty by establishing load forecasts inflated by speculative projects. A clearer, standardized process (at least for load interconnections to transmission facilities as contemplated by the ANOPR) will enable innovative suppliers and customers to develop arrangements that can move forward to operation reliably and cost effectively. Looking ahead, the nation is embarking on a once-in-a-generation infrastructure buildout requiring billions of dollars of investment. With all that at stake, guiding rules and provisions are needed to ensure that competitive arrangements are not artificially hampered or delayed, and have the regulatory certainty to progress as speedily as possible.

Further, establishing a clear, *expedited* glide path for large load customer interconnections to the transmission system¹³ should bring visibility to *committed* new demand, shining a light on how much of forecasted demand growth is ready and able to join the system. As has been highlighted in an array of papers, studies, and stakeholder processes,¹⁴ understanding how much of the stated load forecast growth is real, verifiable, and ready is yet another challenge in working through the planning and investment decisions made by generation developers as well as system operators. Current load forecasting approaches inappropriately and unrealistically force ISOs/RTOs to make commercial assessments based on unverifiable and opaque information provided by Transmission Owners and Electric Distribution Companies. While revisions to load forecasting is a topic for possible reform in certain ISOs/RTOs, and rightly so, much of the forecasting complexity and uncertainty regarding large load additions could be addressed with a *transparent* large load interconnection process.

It is also well documented that, while new large load customers like data centers can be built and operational in a matter of months, the development of new reliable baseload generation resources is measured in years.¹⁵ Thus, as has been set out in the ANOPR, it is necessary to establish procedures to identify projects to ensure a “relatively unencumbered entry into the market” is available. And, as pointed out in President Trump’s artificial intelligence (“AI”) action plan, it is critical to “[r]eform power markets to align financial incentives with the goal of grid stability, ensuring that investment in power generation reflects

¹³ ANOPR at P 18.

¹⁴ See, e.g., Union of Concerned Scientists, [Loophole Costs Customers Over \\$4 Billion to Connect Data Centers to Power Grid](#), Policy Brief September 2025; London Economics (for Southern Environmental Law Center), [Uncertainty and Upward Bias Are Inherent in Data Center Electricity Demand Projections](#), July 2025; and, Duke University’s Nicholas Institute for Energy, Environment & Sustainability, [Rethinking Load Growth: Assessing the Potential for Integration of Large Flexible Loads in US Power Systems](#), February 2025.

¹⁵ [Powering a New Era of US Energy Demand](#), McKinsey & Company, by Adam Barth, Humayun Tai, and Ksenia Kaladiouk with Lawrence Heath, April 25, 2025.

the system's needs.”¹⁶ Currently, generation developers and hyperscaler customers are often stymied by a complex labyrinth of studies, rules, and incumbent Transmission Owner requirements.

Noting that wholesale markets do differ in certain ways, there may be a level of regional deference needed to accommodate compliance by various ISOs/RTOs. New rules addressing the speedy interconnection of new large loads should also accommodate and foster the participation of competitive transmissions providers to offer solutions and pathways to these innovative customers where possible. Additionally, some large load or hybrid facilities projects that have progressed through stages of existing interconnection processes may need to continue on those established paths in order to reach commercialization as contemplated. These issues, however, do not negate the need for a baseline set of rules to guide each market in its compliance with the Commission's directives in this proceeding and offer the transparency needed by industry and policymakers as soon as possible. Thus, beginning with the ANOPR's fourteen principles is useful and will help to establish a robust and compelling record supporting FERC's resulting directives.

C. FERC's Jurisdiction and Legal Authority

As an organization representing competitive suppliers, EPSA understands the importance of the Commission's authority over the interconnection of generation facilities. Representing a critical aspect of open access and comparable transmission service, standard generator interconnection procedures and agreements have long been a fundamental element of the interstate transmission system – even allowing for a level of regional difference to accommodate specific market rules or design. This baseline standard process

¹⁶ Executive Office of the President of the United States, [Winning the Race: America's AI Action Plan](#), (July 2025).

provides the certainty to support the needed investment in both generation and transmission.¹⁷ As demonstrated writ large by this generally standardized approach, it is now equally necessary to set up a baseline approach for interconnecting large loads to the transmission system, granting them direct and speedy access to their designated generation supply, whether that supply is new generation, existing generation, or a mix of the two.

The Secretary correctly recognizes the Commission's jurisdiction to regulate the interconnection of large loads to the interstate transmission grid.¹⁸ Under the FPA, the Commission has exclusive jurisdiction over (1) "the transmission of electric energy in interstate commerce," and (2) "the sale of electric energy at wholesale in interstate commerce"¹⁹ The Commission and the courts have recognized that "[i]nterconnection is an element of transmission service,²⁰ and as indicated in the ANOPR, the Supreme Court upheld the Commission's assertion of jurisdiction over unbundled retail transmission.²¹ In so doing, the Supreme Court rejected arguments that the Commission had intruded on areas reserved to the states, including arguments that "the jurisdictional line between the States

¹⁷ *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103, at P 1 (2003), *order on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004), *order on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

¹⁸ ANOPR at P 16.

¹⁹ 16 U.S.C. § 824(b) (2018).

²⁰ *Tennessee Power Co.*, 90 FERC ¶ 61,238 at 61,761 (2000). *See also, e.g.*, *Duke Energy Progress v. FERC*, 106 F.4th 1145, 1149 (D.C. Cir. 2024) (explaining that "[t]he transmission of electricity in interstate commerce is governed by the [FPA]" and that "[a]mong the transactions that FERC regulates is the connection of a new generation facility to physical infrastructure owned by a Grid Operator"); *Pacific Gas & Elec. Co.*, 115 FERC ¶ 61,193 at P 36 ("[I]nterconnection is part and parcel of transmission of electric energy in interstate commerce, and thus interconnection service is part and parcel of jurisdictional transmission service."); *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103 at P 12 (2003) ("Order No. 2003") ("Interconnection is a critical component of open access transmission service."), *on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004), *on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. National Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007) ("NARUC"); *Entergy Servs., Inc.*, 92 FERC ¶ 61,149 at 61,558 (2000) (asserting exclusive jurisdiction over an interconnection agreement because "interconnection service is a component of jurisdictional transmission services").

²¹ *See* ANOPR at P 4 (citing *New York v. FERC*, 535 U.S. 1 (2002) ("*New York*").

and FERC falls between the wholesale and retail markets.”²² The Court explained that “[t]here is no language in the statute limiting FERC’s transmission jurisdiction to the wholesale market, although the statute does limit FERC’s sale jurisdiction to that at wholesale.”²³ The same is true of load interconnections with the interstate transmission grid: the issue is whether the interconnection service is in interstate commerce, not whether that commerce involves a wholesale sale by an interconnecting generator or a retail purchase by an interconnecting large load.

Significantly, the FPA contains no analog to the Hinshaw Amendment, whereby the fact that electricity is delivered solely within a state for ultimate consumption within that state would cause its transmission to cease to be subject to the Commission’s jurisdiction.²⁴ As a result, the rule articulated in *Federal Power Commission v. East Ohio Gas Company*,²⁵ which the Hinshaw Amendment overruled in the natural gas setting,²⁶ continues to apply in the electric setting, and the Commission retains exclusive jurisdiction over the transmission of electricity in interstate commerce effected through the interconnection of large loads, even where the interconnections are related to sales “direct to consumers rather than for resale.”²⁷ That the states will continue to have the power to regulate these retail sales does not alter the jurisdictional analysis as it relates to the load interconnection service.²⁸

²² *New York*, 535 U.S. at 16. See also *FPC v. Florida Power & Light Co.*, 404 U.S. 453, 472 (1972) (Douglas, J., dissenting) (expressing concern that the majority opinion would result in assertion of jurisdiction over a “company transmitting electric energy in interstate commerce” even where there was “no claim . . . that wholesale selling is involved”).

²³ *New York*, 535 U.S. at 16.

²⁴ See 15 U.S.C. § 717(c) (2018).

²⁵ 338 U.S. 464 (1940) (“*East Ohio*”).

²⁶ See *Public Utils. Comm’n of Cal. v. FERC*, 900 F.2d 269, 292 n.4 (D.C. Cir. 1990).

²⁷ *East Ohio*, 338 U.S. at 473.

²⁸ *Id.* at 473-74 (“That a state commission might also have some regulatory power would not preclude exercise of the Commission’s function.”).

To be sure, in *New York*, the Supreme Court not only affirmed the Commission's assertion of jurisdiction over *unbundled* retail transmission but also the Commission's decision *not* to assert jurisdiction over *bundled* retail transmission.²⁹ But that only speaks to the Commission's discretion not to order a remedy that FERC did not believe "necessary" and that, as the Court agreed, "raise[d] numerous difficult jurisdictional issues"³⁰ Importantly, as the Court observed, the Commission "did not hold itself powerless to claim jurisdiction" over bundled retail transmission.³¹ The ANOPR contemplates similar restraint, inasmuch as it would have the Commission assert jurisdiction over the interconnection of large loads to the interstate transmission grid but continue to allow the states to exercise jurisdiction over the interconnection of smaller loads or the interconnection of any loads, large or small, at the distribution level.³²

In addition, the ANOPR also contemplates restraint by making clear that the state, not the Commission, would continue to have jurisdiction over any retail sales to a large load interconnected with the interstate transmission grid under the proposed process.³³ And even if the FERC-prescribed large load interconnection process has some impact on retail sales, as the Supreme Court has held, "a FERC regulation does not run afoul of [FPA Section 201(b)]'s proscription just because it affects – even substantially – the quantity or terms of such retail sales."³⁴ Any number of Commission actions within its sphere of regulation will

²⁹ See *New York*, 535 U.S. at 25-28.

³⁰ *Id.* at 27 (quoting *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, 75 FERC ¶ 61,080, FERC Stats. & Regs. ¶ 31,036 at 31,699 (1996), *on reh'g*, Order No. 888-A, 78 FERC ¶ 61,220, FERC Stats. & Regs. ¶ 31,048, *on reh'g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *on reh'g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff'd in relevant part sub nom. Transmission Access Policy Study Grp. v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York*, 535 U.S. 1.

³¹ *Id.* at 25.

³² ANOPR at P 18.

³³ *Id.* at P 15 ("Even if the large load seeking to interconnect to the transmission system is an end-use customer, the proposal does not exert jurisdiction over any retail sales to the large load.").

³⁴ *FERC v. Electric Power Supply Ass'n*, 577 U.S. 260, 281 (2016) ("*EPSA*").

obviously have “some effect, in either the short or the long term, on retail sales,” but “[t]hat is of no legal consequence.”³⁵

The ANOPR states that “the interconnection of large loads to the transmission system falls under a practice directly affecting Commission-jurisdictional wholesale electricity rates.”³⁶ That is clearly correct where hybrid facilities are concerned, for the same reason it is correct where the generation portion of the hybrid facility is interconnecting on a stand-alone basis. In *NARUC*, the Court of Appeals for the District of Columbia Circuit upheld the Commission’s assertion of jurisdiction over generator interconnections, including interconnections with local distribution facilities otherwise exempt from the Commission’s jurisdiction “insofar as the interconnections are ‘for the purpose of making sales of electric energy for resale in interstate commerce.’”³⁷ The ANOPR defines a “hybrid facility” as a large load “seeking to share a point of interconnection with new or existing generation facilities,” and by that definition, the interconnection of the hybrid facility will plainly be a practice directly affecting the Commission-jurisdiction wholesale rates of the interconnected or interconnecting generation facilities.

Large load interconnection will also implicate the Commission’s jurisdiction over practices affecting wholesale rates where the large load is being served from a generation facility and the transaction has been structured to preserve the generation owner’s exempt wholesale generator (“EWG”) status. The Commission has previously accepted arrangements in which a marketer is interposed between a generator and an end-user in order to ensure that the generator’s sales are wholesale sales, consistent with the requirement that an EWG be “engaged . . . exclusively in the business of owning or operating

³⁵ *Id.*

³⁶ ANOPR at P 14 (citing *EPSA*, 136 S.Ct. at 764).

³⁷ *NARUC*, 475 F.3d at 1279-80 (quoting Order No. 2003 at P 804).

or both owning and operating, all or part of one or more eligible facilities and selling electric energy at wholesale.”³⁸ In such an arrangement, the sale to the large load will be at retail but the large load interconnection will relate directly to the EWG’s sale at wholesale and indeed, would not occur but for that wholesale sale.

The ANOPR also states that “any contrary view of the proposed reforms conflicts with the FPA’s core purposes.”³⁹ EPSA agrees. Indeed, because, as discussed above, interconnection service is itself a transmission service, the large load will be interconnecting to obtain this limited transmission connection service even if it does not take transmission delivery service.⁴⁰ Bringing order and uniformity to the large load interconnection process will advance “the FPA’s core objects” by “protect[ing] ‘against excessive prices’ and ensur[ing] effective transmission of electric power.”⁴¹

D. Principles for Reform

Noting EPSA’s support for reforms to ensure the “timely and orderly” interconnection of large loads to the transmission system, we offer certain clarification requests and suggestions on five principles below. Importantly, the common objective of the suite of principles is the establishment of a transparent, fair, expedited process for large load interconnection in the

³⁸ 18 C.F.R. § 366.1 (2024). See Application of O’Brien (Parlin) Cogeneration, Inc. for Determination of Exempt Wholesale Generator Status at 3-11, Docket No. EG96-60-000 (filed Apr. 29, 1996), *granted*, O’Brien (Parlin) Cogeneration, Inc., 75 FERC ¶ 61,326 (1996); Application for Determination of Exempt Wholesale Generator Status at 5 & n.8, Docket No. EG06-24-000 (filed Dec. 20, 2005), *granted*, Elkem Metals Co.-Alloy L.P., 114 FERC ¶ 62,091 (2006); Application for Determination of Exempt Wholesale Generator Status at 3, 7-8, Docket No. EG98-3-000 (filed Oct. 8, 1997), *granted*, Brooklyn Navy Yard Cogeneration Partners, L.P., 81 FERC ¶ 62,160 (1997). See also Notification of Self-Certification of Exempt Wholesale Generator, Docket No. EG24-98-000 (filed Jan. 30, 2024), *notice of effectiveness*, Atrisco Solar LLC, Notice of Effectiveness of Exempt Wholesale Generator Status, Docket Nos. EG24-64-000 (Apr. 3, 2024) (unreported).

³⁹ ANOPR at P 16.

⁴⁰ See Order No. 888 at P 118 (stating that the Commission “treat[s] interconnection and delivery as separate aspects of transmission service”). There are various scenarios in which an interconnecting large load would not procure delivery service, including (but not limited to) circumstances in which (1) the large load would be purchasing power at the node with which it is interconnected; (2) the large load is purchasing power from a seller that obtains any needed transmission delivery service; or (3) the large load is directly connected with, and served from, a generation facility.

⁴¹ EPSA, 577 U.S. at 290.

defined circumstances. This objective is *mission critical* and must underpin any proposed regulations, rules, or procedures developed in this proceeding.

a. Principle One – Applicability of the Seven-Factor Test

The ANOPR proposes to use a highly fact-contingent test to determine what facilities are transmission for the purpose of effectuating this rule. This would result in substantial uncertainty for loads, which would have to wait for classification decisions made by self-interested utilities to determine whether they fall into the State “local distribution” bucket or the Federal “transmission” bucket. Litigation would then ensue. The lengthy process would defeat the core purposes – speed and efficiency – which the ANOPR has in mind. Previously, the Commission has determined that bright-line rules, subject to being rebutted in proceedings, should initially classify facilities by voltage to effectuate its jurisdictional purposes in promulgating rules such as this one. Similarly, load sharing a point of connection on the transmission system with a new or existing generation facility (i.e., hybrid facilities) should be deemed transmission given the generator connection is already clearly deemed transmission, even if metering facilities or step down facilities are interposed to serve the load. EPSA recommends the Commission follow the same approach here.

b. Principle Two – Proposed Large Load Threshold

The ANOPR’s legal reasoning is not based on the size of the load but on *whether the facility to which the load is connected is or is not a transmission facility regulable by the Commission*. That noted, it is possible, even likely, that data centers will begin to take load service when smaller than 20 MW, for example, before ramping up above that figure. Thus, it is important that the Commission clarify that the established threshold is based on the full expected load, even if a large load customer ramps up to that amount in phases.

c. Principle Four – An Efficient Queue for Interconnection

The current load interconnection queues lack any transparent and economically efficient function by which to expedite the interconnection of the greatest amount of load as early as possible, at least cost for themselves as well as legacy customers, and with the fewest reliability impacts to the system. These queues are entirely within the host transmission owner's control and often are guided by unfiled transmission owner procedures. In addressing this problem for large load connections, we hope that FERC will be mindful to avoid replicating the flaws of the pre-Order No. 2023 legacy generator queue design. The ANOPR's principle here could be read to imply a replication of the serial "first-in-time, first-in-right" approach which resulted in a raft of speculative projects with queue priority bogging down the process while never being developed. Rather, we need a transparent, workable process that resolves the problems of the existing transmission owner processes which are not subject to open access principles.

While it is possible that a "first-ready, first-served" cluster study process for large load interconnection together with financial commitments and site control requirements may discourage speculative large load projects, EPSA would also suggest that the Commission consider processes that ensure a speedy interconnection timeline while assisting in the identification of projects that warrant prioritization. Such approaches could include requiring ISOs/RTOs to employ a cluster process by locational delivery area or conduct an open season or auction to allocate interconnection rights to large loads based on their readiness.⁴² An open season concept, for example, draws on the successful regulations of the Commission with respect to interstate natural gas pipelines, as well as a successful approach

⁴² Of note, any such mechanisms utilized by an interconnecting customer should not serve as a means to delay any in-flight interconnections as discussed previously.

by the Alberta Electric System Operator which rapidly enabled the interconnection of data centers to be built in 2027-28.⁴³

d. Principle Seven – Expedited Process for Curtailable Large Loads

EPSA firmly agrees that, when a large load customer agrees to be curtailable and dispatchable in order to assist in system reliability and flexibility in defined circumstances, that load should be subject to an expedited interconnection study process. The ANOPR seeks comment on whether a serial interconnection study process may be reasonable. The existing serial process resulted in often delayed or opaque sets of studies and has been a key factor hampering recent projects from gaining momentum to reach commercial operation, as has been demonstrated in the Commission’s proceeding leading to Order No. 2023. Thus, Order No. 2023 established an approach that clusters studies or other innovative study approaches as much as possible, leading to both expedited processing and possible vetting among projects competing at the same or similar interconnection site to establish certainty and prioritization.

Particularly when large loads are curtailable, the Commission should direct ISOs/RTOs to require interconnection study processes be completed in an established timeframe measured in months, not years.⁴⁴ The intent of the ANOPR is to remove barriers to the timely interconnection of new large loads – this must include moving past the dysfunction and delay of the existing serial transmission owner study processes. Thus, the Commission should direct ISOs/RTOs to complete studies within a specific time – bundled on a concurrent

⁴³ Alberta Electric System Operator (“AESO”), *Large Load Integration Phase I: Interim Connection Limit and Assignment* (June 4, 2025), <https://aesoengage.aeso.ca/48469/widgets/204062/documents/153825>.

⁴⁴ See e.g., Pennsylvania Public Utility Commission, *Tentative Order: Interconnection and Tariffs for Large Load Customers*, Docket M-2025-3054271, (November 6, 2025). “Utilities should have some flexibility for determining study timelines, ensuring high-quality results; however, we encourage utilities to give additional transparency to customers looking to interconnect (ex. periodic updates, average response times, queue position, expected timelines, etc.) and tentatively find that six months is a reasonable amount to maximum time to complete interconnection studies unless there are exigent circumstances,” p. 25.

timeline with any transmission owner studies to the extent possible. This will lead to faster study completion as well as more transparent and efficient transmission upgrade identification – see *Principle Three*,⁴⁵ which EPSA supports.

This principle appropriately acknowledges and supports the ability of hybrid configurations to determine and commit to operating in a manner that supports system reliability – through load curtailment or providing generation service during specific system conditions, for instance. These operational commitments could reduce the need for network upgrades for both the generation and load, and thus support prioritizing these projects for interconnection pursuant to open access principles.⁴⁶

The Commission should consider an expedited interconnection approach that may be fashioned similarly to recent generation interconnection expedited procedures such as the RRI approach in PJM.⁴⁷ Additionally, any market-based process to identify projects to be studied in tandem could also do the following: (1) vet projects for viability before they take up resources utilized for the cluster study process, or (2) identify a “corridor” that could support multiple new load projects with shared network upgrades.

e. Principle Ten – SSR/RMR Studies for Large Loads

As stated, this principle presents some confusion regarding its intent and implementation. EPSA rejects the underlying premise that existing generation that is moved

⁴⁵ ANOPR at P 20.

⁴⁶ See e.g., Improvements to Generator Interconnection Procedures and Agreement, Order No. 2023, 184 FERC ¶ 61,054 (2023), PP 1509-1510, “We find that by more accurately reflecting the technical capabilities of electric storage resources in interconnection studies through the use of appropriate operating assumptions, this reform ensures the reliable interconnection of new electric storage resources without overestimating their impact on the transmission system, thereby ensuring just and reasonable rates by avoiding excessive and unnecessary network upgrades that may hinder the timely development of new generating facilities that stifles competition in the wholesale market. We also find that reflecting the technical capabilities of electric storage resources through the use of appropriate operating assumptions in interconnection studies reduces unduly discriminatory or preferential barriers to the interconnection of electric storage resources.”

⁴⁷ PJM Inside Lines, [Reliability Resource Initiative Draws 94 Applications](#), March 21, 2025.

behind the meter to serve data center load is akin to a partial suspension or otherwise warrants RMR/SSR type analysis for deactivating resources. Such resources could still be serving the grid, depending on whether and how the load is connected, and the nature of the flexibility of the load. Any analysis of such arrangements *should not* assess resource adequacy issues which even fall outside the scope of ISO/RTO deactivation analyses.

Any reliability assessment for co-located or hybrid arrangements must be limited to whether and how the proposed new load can be reliably and safely interconnected to the grid. As an example, PJM's Necessary Study process engages in such an assessment. To introduce resource adequacy as a consideration in determining whether and at what cost to interconnect new large load would necessarily discriminate against that new load and existing generators. Under fundamental open access principles, there can be no such differentiated treatment between new and existing load or between new and existing generation.

III. CONCLUSION

EPSA respectfully requests that the Commission move forward expeditiously with proposed reforms to ease the process for large load interconnection to the transmission system, as highlighted above. EPSA offers suggestions herein for clarification and refinement of certain principles in an effort to assist in the Commission's development of durable, reasonable, and transparent interconnection procedures that support the speed to power needs facing our country today and in the coming years.

Respectfully submitted,

N. E. Bagot

Nancy Bagot, Senior Vice President
Electric Power Supply Association
1401 New York Avenue, NW, Suite 950
Washington, DC 20005
(202) 628-8200
NancyB@epsa.org

Dated: November 21, 2025